CPF LIFE yields: full research

Public correction notice. This edition preserves the complete 17-page research report, original page numbering, original numerical exhibits and linked source register. This notice makes the complete file 18 pages. It is a public derivative, not an unchanged source PDF.

Removed: private design-source filenames and authoring-workflow notes on the original final page. No client name, client identity number, personalised quotation, restricted screenshot or copied third-party chart was identified in the report. Embedded content credentials were removed from this derivative.

Source provenance: the assistant-generated CPF LIFE Yield Research Report delivered on 5 November 2026. The report uses a published male-member illustration, not an actual client case. Investment Moats is credited for a comparison method; its historic charts and plan-by-plan estimator outputs are not reproduced.

The public model and this report use S$220,400 at age 55, S$330,100 at age 65, and S$1,780 monthly. Results depend on the declared monthly payment and death-refund conventions. Neither the payout ratio nor scenario IRRs are promised annual investment yields.

Research date and rule validity remain 5 November 2026. This publication review does not refresh every official rule or quote. Obtain current official CPF quotations and eligibility checks before making a decision.

CPF LIFE yields: growth, capital recovery and income for life

Research report and product-comparison framework | 5 November 2026 | All money in Singapore dollars

> **The payout rate, the interest credited to retirement savings, and the return earned across a lifetime answer different questions. A useful comparison must show all three.**

This report develops the investment-return approach in the supplied Investment Moats article, checks the current CPF rules, and builds a transparent monthly cash-flow model. The central numerical case uses CPF Board's published example for a male member turning 55 in 2026 on the Standard Plan. It is an illustration, not a personalised payout quotation. Actual pricing depends on the balance, start age, mortality and interest assumptions. [S01] [S02] [S19]

Reference input	Published amount
RA savings at age 55	S$220,400
Estimated RA savings at age 65	S$330,100
Standard Plan monthly payout from age 65	S$1,780

Five findings

- Before payouts begin, RA savings earn interest. The published endpoints imply 4.12% a year across ten years, including the effect of extra interest and the illustration's assumptions. This is not a separate contractual 4.12% rate.
- From 65, cumulative Standard Plan payouts plus the remaining premium refund equal the starting premium while that refund is positive. The model therefore gives a 0% nominal household IRR over those horizons.
- The premium refund reaches zero at the 186th payment, age 80 years 6 months under the stated timing convention. There is no universal age-81 threshold.
- The annual payout rate is 6.47%. The annualised IRR from age 65 is 2.72% at age 85, 4.29% at 90 and 5.16% at 95. These are conditional outcomes, not promised annual investment yields.
- CPF LIFE supplies lifetime income. A fair alternative must also show its remaining capital, withdrawal shortfalls, inflation exposure and access to money.

Evidence labels used throughout: **Fact** means a current source statement. **Calculation** means arithmetic derived from specified inputs. **Assumption** means a modelling choice. **Judgment** means a planning interpretation. Full precision is retained in the calculation files; display figures use sensible rounding.

1. What “yield” means in this analysis

A cash payout can contain a return of capital

Measure	What it answers
RA credited interest	How fast eligible CPF savings earn interest before the premium is committed.
Annual payout rate	Annual cash paid divided by the stated starting capital. It does not deduct capital returned through payouts.
Income-only IRR	The annualised return using the initial outlay and payouts received while alive.
Household IRR	The annualised return including both payouts and the premium refund on death.
Net present value (NPV)	Whether discounted payouts and the refund exceed the initial outlay at a stated opportunity-cost rate.
Real return	The return after adjusting for the assumed inflation path.
Insurance value	The value of continuing income when the member survives longer than planned. A single death-age IRR does not measure it fully.

Calculation. S$1,780 × 12 = S$21,360 a year. S$21,360 / S$330,100 = 6.470766% as an annual payout rate. Dividing by the original S$220,400 instead gives 9.691470%, but that mixes income beginning after a ten-year wait with capital committed at 55. Neither ratio is the IRR of the complete cash flows.

What the Investment Moats article contributes

The article first appeared in December 2018 and carries an April 2022 date. Its useful method is to calculate returns at different ages of death, separately including and excluding bequest. It also recognises retirement-income durability as a distinct objective. The historical plan rankings and “break-even” ages depend on an older example and estimator. The author notes that the earlier bequest output is no longer easily reproducible. This report adopts that comparison method, refreshes the rules and inputs, and avoids presenting the old ranking as a current product recommendation. [S01]

Judgment. The right comparison is a dated cash-flow comparison with explicit guarantees. A high distribution rate alone cannot establish that a product creates more wealth, and a low early-life IRR alone cannot establish that longevity protection lacks value.

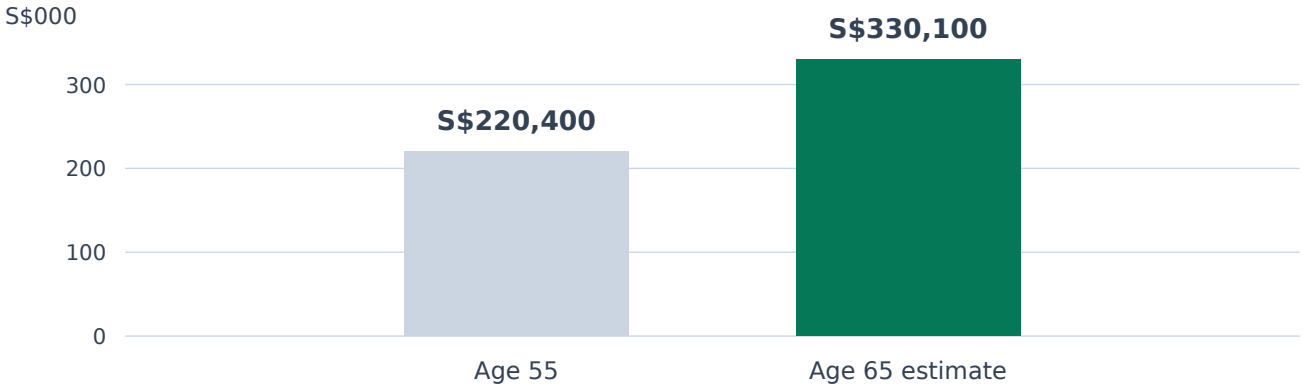
2. Ages 55 to 65: RA interest is genuine accumulation

The accumulation stage has a different accounting basis from CPF LIFE payouts

Fact. The RA base rate is 4% a year for October to December 2026. The Government has extended the 4% floor through 31 December 2027. For members aged 55 and above, extra interest applies to the first S$60,000 of combined CPF balances: 2% on the first S$30,000 and 1% on the next S$30,000, subject to the account rules and OA cap. “Up to 6%” therefore does not mean 6% on the entire RA. [S08] [S09]

Fact. CPF computes interest monthly and credits it for annual compounding. Contributions received during a month start earning interest the next month, while withdrawals or deductions stop earning interest from that month. Account flows and dates matter. [S10]

The published RA illustration adds S$109,700 before payouts



Source: CPF Board, 16 Jun 2026, male member turning 55 in 2026. Published reference amounts, SGD. [S02]

Calculation. S$330,100 − S$220,400 = S$109,700. The growth rate that connects the two published endpoints is (330,100 / 220,400)^(1/10) − 1 = 4.122214% a year. This is an implied growth rate, not the quoted base interest rate. It also does not prove that a simple annual formula exactly reproduces CPF's underlying illustration.

Assumption. For the return model, S$220,400 is committed exactly at age 55, there are no later contributions or withdrawals, and all S$330,100 becomes the Standard Plan premium exactly ten years later. Actual CPF projections may incorporate transaction dates and profile details not exposed in the reference table.

> **The current rate floor stops at a stated date. It must not be described as a guaranteed 4% rate for every year from 2026 to 2036.**

Comparison implication. A product bought at age 55 must be assessed from that same date and with the same contribution schedule. For a comparison starting at 65, both sides should begin with the same accessible capital, or the capital difference must be explicitly funded.

3. Payouts reduce the premium refund

The “bequest is the balance” observation has a precise scope

Fact. Standard Plan members use all their RA savings as the premium when joining. On death, beneficiaries receive any remaining CPF LIFE premium balance, together with other remaining CPF account balances. The premium balance is the premium paid less CPF LIFE payouts already received. This report models the premium refund only. Other CPF balances and assets are outside the calculation. [S03] [S06]

> **For one premium P and cumulative payouts C_n: $B_n = \max(P - C_n, 0)$. Therefore $C_n + B_n = \max(P, C_n)$. While B_n remains positive, total nominal cash delivered to the member and beneficiaries equals P.**

Age	Payouts received	Premium refund	Combined
70	S$106,800	S$223,300	S$330,100
75	S$213,600	S$116,500	S$330,100
80	S$320,400	S$9,700	S$330,100
81	S$341,760	S$0	S$341,760
85	S$427,200	S$0	S$427,200

Calculation. At age 80, 180 payments total S$320,400. The remaining refund is S$330,100 − S$320,400 = S$9,700. Adding the two gives S$330,100. Discounting these positive cash flows against the initial S$330,100 gives exactly 0% nominal household IRR. The member's income-only IRR is −0.39% at that age because it excludes the remaining S$9,700 refund.

Fact and interpretation. CPF LIFE premiums continue to earn interest. CPF pools that interest and uses it in setting payouts from the start. Interest that has not been paid out does not become a separate inheritable account balance. The refund identity supports the capital-recovery interpretation without proving that the premium earns no interest. [S07] [S18]

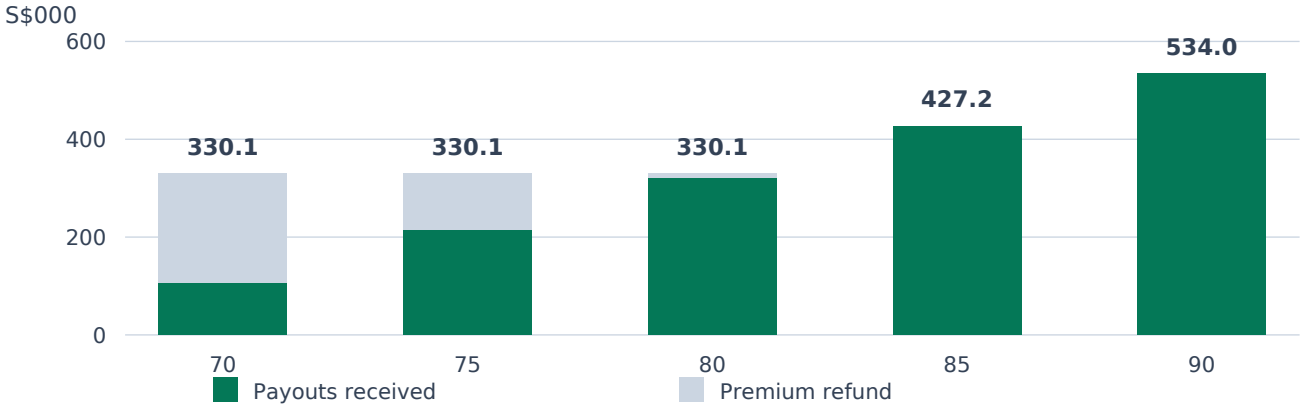
Limits. A death benefit is not cash available to withdraw while alive. Cumulative payouts are past income and may already have been spent. Adding them to a refund measures total cash delivered over time; it does not measure the member's remaining wealth or liquid account balance.

4. After premium recovery: survival drives the return

Lifelong protection applies from joining, even though its realised cash benefit becomes clearer later

Calculation. After 185 payments, payouts total S$329,300 and the refund is S$800. Payment 186 raises cumulative payouts to S$331,080, exhausting the refund and exceeding the premium by S$980. With the first payment one month after 65, this occurs at age 80 years 6 months. Payout timing and the actual quotation can move the date.

The combined cash total rises once the refund reaches zero



Model: Standard Plan, S$330,100 premium and S$1,780 monthly, unchanged payouts, no later inflows. Values are cumulative SGD. CPF reference [S02]; refund rule [S06].

Age at death	Paid in total	Refund	IRR from 65	IRR from 55
80	S$320,400	S$9,700	0.00%	2.33%
81	S$341,760	S$0	0.44%	2.50%
85	S$427,200	S$0	2.72%	3.46%
90	S$534,000	S$0	4.29%	4.21%
95	S$640,800	S$0	5.16%	4.68%
100	S$747,600	S$0	5.68%	4.98%

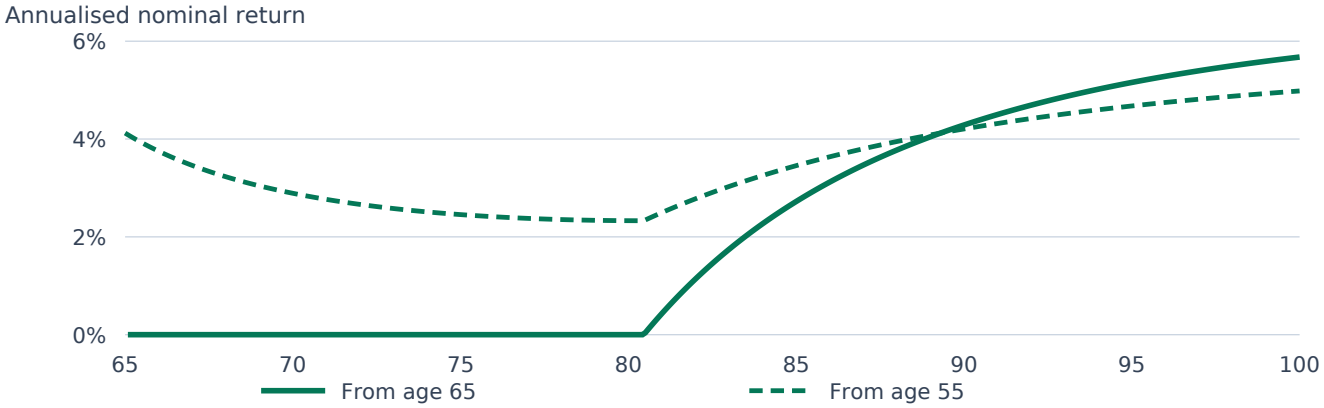
Household IRR includes the premium refund at the selected death month. Once that refund is zero, household and income-only IRR coincide. At age 90, S$534,000 of payouts exceeds the age-65 premium by S$203,900, and the age-65 IRR is 4.29%. The arithmetic does not imply that 4.29% was credited every year.

Fact. CPF reviews payouts for changes in mortality experience and interest rates. Any adjustment takes effect in July and CPF expects changes to be small and gradual. Lifetime duration and an unchanging illustrated dollar amount are different promises. [S11]

5. Two starting dates produce two valid IRRs

The return from age 55 includes the earlier RA accumulation

The starting date changes the result, even with identical payouts



Annualised nominal household IRR, %. Age 55 starts with S$220,400. Age 65 starts with S$330,100. Each horizon assumes death after that month's payment. Calculations from [S02] and [S06].

At age 80, household IRR is 0% from age 65 but 2.33% from age 55. The age-55 calculation includes S$109,700 of accumulation before payouts begin. The age-65 calculation deliberately treats S$330,100 as the new starting capital. Both calculations are correct for the questions they answer.

The age-55 curve initially falls as the same nominal premium is returned over a longer period, then rises as lifetime payouts move further beyond that premium. At sufficiently long horizons, the age-65 IRR can exceed the age-55 IRR because it excludes the ten-year waiting period. This is a timing effect, not a contradiction.

Age	Income-only IRR from 65	Household IRR from 65	Household IRR from 55
70	-31.96%	0.00%	2.89%
75	-7.78%	0.00%	2.45%
80	-0.39%	0.00%	2.33%

Method. The monthly rate i solves the present-value equation, including the refund in the terminal month when applicable. Annual IRR is (1+i)^12 − 1. For the age-55 calculation, payments occur at months 121 onward and the premium transfer at month 120 is internal to the model, not a second external investment.

> **Do not subtract the age-65 premium again in the age-55 cash-flow series. That would count the same committed capital twice.**

IRR describes the timing of specified cash flows. It does not, by itself, state the wealth obtained by reinvesting payouts. A comparison of terminal wealth needs a separate, consistent reinvestment assumption for every product.

6. “Break-even” needs a definition

Nominal capital recovery, discounted value and insurance utility are different tests

Test	Reference result	Meaning
Recover age-55 contribution from payouts	Payment 124; age 75 years 4 months	Payouts reach S$220,720, exceeding S$220,400. This ignores the opportunity cost of the entire waiting period.
Recover age-65 premium from payouts	Payment 186; age 80 years 6 months	Payouts reach S$331,080, exceeding S$330,100.
Recover the premium including refund	Every positive-duration horizon before exhaustion	Combined nominal payments equal the premium. The timing of those payments still matters.
Achieve a 4% discounted return from 65	Positive NPV first occurs at payment 286 in this model	This requires the discounted payout value to exceed S$330,100.
Receive useful longevity protection	Applies when CPF LIFE begins	Value depends on the member’s need for income assurance, not just a realised death-age return.

A nominal 0% household IRR does not preserve purchasing power. If inflation were a constant 2%, the corresponding real annual return would be $1/1.02 - 1 = -1.96\%$. Inflation is a scenario here, not a forecast. The same distinction matters for a bond that returns principal only at maturity.

An early death creates an opportunity cost relative to a positive-return liquid portfolio, even when the original premium is fully returned through payouts and refund. Conversely, a member who survives well beyond the modelled portfolio's funding horizon benefits from continued CPF LIFE income. Both observations belong in a balanced comparison.

Judgment. The investment lens helps detect misleading yield claims. The insurance lens asks how the household will pay essential bills if it lives longer than its assets last. A defensible recommendation uses both lenses and identifies which risk the household is trying to reduce.

7. Discounted cash flows show the opportunity cost

Scenario rates are comparison assumptions, not current product offers

For a selected death month n and annual discount rate d, NPV equals −P + the sum of each monthly payout discounted to age 65 + the terminal refund discounted to age 65. The refund is included once. A positive NPV means that this particular sequence of benefits exceeds the hurdle rate. It is not an expected return across all possible lifespans.

Death age	NPV at 0%	NPV at 2.5%	NPV at 4%
70	S$0	-S$32,368	-S$49,742
75	S$0	-S$50,014	-S$74,994
80	S$0	-S$55,919	-S$82,902
81	S$11,660	-S$48,064	-S$76,676
85	S$97,100	S$6,683	-S$34,526
90	S$203,900	S$67,934	S$9,662
95	S$310,700	S$122,071	S$45,981
100	S$417,500	S$169,920	S$75,833

Assumption. The 0%, 2.5% and 4% rates are constant annual effective nominal hurdle rates. They are not quotes for deposits, bonds or an insurer. Although 2.5% and 4% are familiar CPF reference rates today, they do not mean a member can keep the CPF LIFE premium in a liquid account paying those rates for decades. [S08]

At age 85, the 4% NPV is -S$34,526. At age 90 it is S$9,662. The sign changes because the member receives another five years of income. Selecting only the later positive figure would hide the trade-off faced at the time of purchase.

For guaranteed benefits in the same currency, a dated term structure can be a more informative discount benchmark than one flat rate. Risky investment returns should not be used as though they were guaranteed discount rates. This report retains flat rates to make the sensitivity transparent rather than inventing a current executable market comparison.

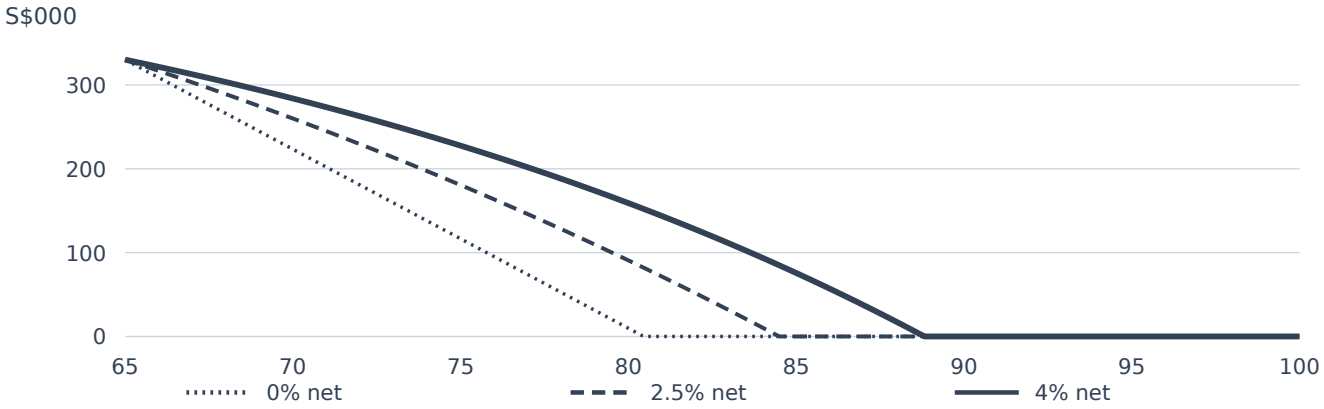
> **A household-specific decision needs the actual alternative available on the same date, with the same currency, fees, guarantee basis and accessible capital.**

8. A separate portfolio must fund the same income

Equal withdrawals expose both the remaining estate and the eventual shortfall

Assumption. Start a separate portfolio at age 65 with S$330,100. Credit a smooth constant net return every month at an annual effective rate of 0%, 2.5% or 4%, then withdraw S$1,780. There are no additional flows, fees beyond the stated net rate, taxes or market shocks. The portfolio cannot become negative; its final payment is reduced when available funds are insufficient.

Positive returns extend the funding period but do not create a lifetime promise



Portfolio balance, SGD, after matching S$1,780 monthly withdrawals. Constant net nominal scenario rates. This is a deterministic comparison, not a market simulation or product forecast.

Net annual return	Last full monthly payment	First payment with a shortfall
0%	Age 80 years 5 months	Age 80 years 6 months
2.5%	Age 84 years 5 months	Age 84 years 6 months
4%	Age 88 years 9 months	Age 88 years 10 months
CPF LIFE illustration	Pays for life while the member lives	Payout amount may be adjusted under CPF rules

The constant net annual return needed to pay S$1,780 monthly indefinitely while preserving S$330,100 of nominal principal is (1 + 1,780/330,100)^12 − 1 = 6.6662%. This is a mathematical perpetuity hurdle. It is not an available risk-free product rate, and preserving nominal capital would still leave inflation risk.

An invested portfolio has advantages the CPF LIFE premium does not: remaining market value can support emergencies or heirs, subject to the asset's liquidity and market risk. It also leaves the household responsible for sequence risk, reinvestment rates, fees and withdrawals. A constant-return illustration omits those uncertainties. CPF LIFE reduces the risk of outliving the payout stream, while its refund declines and its money is less flexible.

9. Inflation and longevity change the planning question

A level dollar payout buys less over time

Fact. Standard Plan payouts are level in design. Escalating Plan payouts begin lower and rise by 2% annually on the payout anniversary. A fixed 2% increase does not track actual CPI exactly. [S03] [S04]

Future age	S$1,780 in age-65 dollars at 2% inflation	At 3% inflation
75	S$1,460	S$1,324
85	S$1,198	S$986
95	S$983	S$733

Calculation. Purchasing power equals S$1,780 / (1+inflation)^(years after 65). These scenarios isolate inflation. They do not assume that CPF will index the Standard payout to prices or that future inflation will follow either path.

Fact. Singapore's 2025 resident life tables report remaining life expectancy at age 65 of 19.9 years for males and 23.1 years for females. Those are population averages conditional on already reaching 65. They are not a deadline or a personal forecast. The data describe the 2025 mortality environment; a person turning 55 in 2026 reaches 65 in 2036. [S14]

A survival-weighted expected present value would require age-specific survival probabilities, treatment of the refund in each death month, a discount curve and a clear population basis. It would also need assumptions about future mortality improvement. This report does not claim to reproduce CPF's actuarial pricing or publish an actuarial “fair value”.

> **Putting average life expectancy into an IRR calculator does not produce an expected IRR. The distribution of possible lifespans matters, especially the long-lived tail.**

Judgment. Plan essential spending beyond the average lifespan and stress late-life costs. Keep an explicit inflation budget. A person with a strong estate objective or a need for substantial accessible capital may prefer a different mix of lifetime income and investments even when the headline payout is lower.

10. Standard, Escalating and Basic need different models

The Standard refund shortcut cannot be applied indiscriminately

Plan	Premium and payout structure	Modelling consequence
Standard	All RA savings become the premium. Payouts are level in design.	One quoted premium, a monthly payout path and the residual premium refund.
Escalating	All RA savings become the premium. Payouts start lower and rise 2% yearly.	Use the actual initial quote and anniversary steps. The first increase follows twelve payments.
Basic	About 10% to 20% of RA becomes the premium. Payouts first draw from remaining RA savings until age 90.	Track the remaining RA and premium separately, including interest and the actual payout schedule.

Fact. Under Basic, the RA portion continues earning interest. As combined balances fall below S$60,000, extra interest declines and monthly payouts progressively reduce. CPF identifies age 90 as the transition from RA-funded payouts to CPF LIFE premium-funded payouts. [S05]

Method. With initial Escalating payout W_0 and monthly payment number k, a simple anniversary model uses $W_k = W_0 \times 1.02^{\text{floor}((k-1)/12)}$. This formula models the announced escalation feature, subject to any actuarial adjustments. Its cumulative cash total and IRR depend on the actual initial quotation. [S04]

For Basic, subtracting every payment from the small 10% to 20% premium would falsely exhaust the premium while ignoring the remaining RA. A sound model needs the allocation, RA cash-flow path, extra-interest rules, premium payout path and death-benefit schedule. No current personalised Basic or Escalating quotations were supplied, so this report does not invent their yields or rank the three plans numerically.

Judgment. Standard favours higher initial income than Escalating. Escalating shifts income toward later years. Basic requires close attention to lower and potentially declining payouts as well as bequest. The relevant question is how each actual quotation meets spending needs and estate preferences, rather than which plan wins at an arbitrarily selected death age.

11. Deferral and top-ups require incremental comparisons

A larger payout is not the same as a higher investment return

Fact. CPF allows payout deferral up to age 70. It describes the increase as up to 7% for each year deferred and up to 35% for deferral to 70. This is an uplift in the later monthly payout, not a guaranteed 7% annual investment yield and not five years of compounding at 1.07. [S12]

The published reference case shows S$1,780 monthly from 65 or S$2,380 from 70. The increase is S$600 a month, or 33.71%. Deferral also forgoes the first 60 monthly payments, a total of S$106,800 in this constant-payout illustration. [S02]

Calculation. Ignoring bequest and discounting, it takes S$106,800 / S$600 = 178 months after age 70 for the higher payout to catch up with the foregone income. That is age 84 years 10 months. This limited cash-income calculation does not determine which choice has the better household return or insurance value.

> **The source table does not supply the age-70 premium or full refund path. Reusing S$330,100 as the age-70 premium would manufacture a result. A full deferral comparison needs the actual premium and cash-flow schedules for both start dates.**

The next dollar can behave differently from the first dollar

Fact. The 2026 ERS is S$440,800, double the current FRS. That multiple changed from 2025, so the older article's ERS description is historical. [S20]

Calculation. Comparing the published FRS and ERS examples adds S$220,400 at age 55, S$320,000 of estimated premium at 65 and S$1,660 monthly payout. The incremental annual payout ratio is S$19,920 / S$320,000 = 6.225%. It differs from the 6.47% average ratio in the FRS case. Extra-interest caps and quotation assumptions make simple proportional scaling unreliable. [S02]

For an incremental IRR, subtract the two complete cash-flow schedules. Incremental refund equals $B_{ERS,n} - B_{FRS,n}$, rather than mechanically applying max(extra premium − extra payouts, 0). Each policy can exhaust its premium at a different time. Tax relief and any eligibility-dependent benefits should be added only when verified for the person and decision being compared.

12. Comparing CPF LIFE with other products

Align the funding date, income objective and terminal value

Product	Useful return measure	Material differences
CPF LIFE	IRR by death age, with and without refund; lifetime income coverage	Lifetime duration. Premium refund declines. Limited access to committed savings. Actual payout can be adjusted.
SGS bonds and T-bills	Yield to maturity plus the actual purchase price and cash-flow dates	Fixed maturities. Bond prices can change before maturity. A ladder requires reinvestment and planned sales or redemptions.
Singapore Savings Bonds	Return for the actual holding period, interest received and redeemed principal	Up to ten years. Monthly redemption feature. S$200,000 individual holding cap, so one person cannot place the full S$330,100 case in SSBs.
Private annuity	Separate guaranteed and illustrated IRRs with death and surrender values	Term or lifetime structure varies. Participating bonuses are not guaranteed. Early surrender can cause losses.
Investment portfolio	Net total return, matched withdrawals, terminal value and shortfalls	Market and sequence risk. Fees, FX and tax can reduce spendable SGD cash. Remaining assets may be accessible or inheritable.

Source basis: CPF rules [S03] [S06] [S11], MAS government securities comparison and SSB FAQ [S16] [S17], and MoneySense annuity guidance [S15]. No current private-product benefit illustration or executable bond quotation was supplied. The report therefore provides a comparison method and transparent scenarios, not a named-product league table.

Fact. CPF LIFE exemption is conditional. A qualifying pension or private annuity must meet the relevant lifelong guaranteed payout requirements. CPF says investments such as endowments and bonds are not accepted for this purpose. Prior top-ups remain in the RA and cannot be withdrawn as a lump sum, and the qualifying annuity cannot secure a loan. A spreadsheet comparison cannot make restricted retirement savings freely withdrawable. [S13]

Method. Use the same initial date and the same money available to invest. Match monthly spending, even when coupons arrive only every six months. Record any shortfall explicitly. At death, use the relevant death benefit; while alive, use an actual sale or surrender value if liquidation is assumed. Never add both death and surrender proceeds for the same termination event.

For foreign-currency products, convert every payout and terminal value into SGD at an explicit FX path or hedge cost. A foreign coupon rate is not an SGD return. For callable bonds, distinguish promised maturity cash flows from cash flows under a call scenario. For participating insurance, keep guaranteed and non-guaranteed amounts in separate columns rather than quietly combining them into a certainty claim.

13. Requirements for a reliable CPF LIFE builder

An article-led interface can expose the calculations without overwhelming the reader

Inputs and provenance

- Member profile and quote: quotation date, birth cohort, sex where used in pricing, plan, start age, exact premium, first payment date and payout schedule.
- Accumulation: starting RA and date, later contributions and withdrawals, current rate assumptions, extra-interest eligibility and a separately identified official projected premium.
- Comparison: funding date, actual purchase cost, currency, cash-flow dates, fees, taxes, guaranteed benefits, illustrated benefits, death values and surrender or market values.
- Scenario controls: death or review age, inflation, opportunity-cost rate, investment-return path and whether any income is reinvested.

Outputs that should stay separate

Output	Required label or behaviour
Monthly payout and annual payout rate	State the premium denominator and payout start date.
Cumulative income and remaining refund	Show them separately, then optionally combine them as total cash delivered.
Four IRR views	Age-55 and payout-start clocks, each with income-only and household returns.
Nominal and discounted recovery	State the threshold and first crossing month.
Portfolio comparison	Show surviving capital, every income shortfall and depletion timing.
Plan comparison	Require real quotations. For Basic, require a suitable schedule or a separately validated account model.

The article should explain the three stages first, then let readers change a few assumptions and inspect the cash-flow table. Use “remaining premium refund” rather than an unqualified “account balance” after annuitisation. Explain that the refund is payable on death and that lifetime coverage has already started.

Validation should reject negative premiums, duplicate months and missing schedules. A model with no elapsed time should display IRR as undefined rather than forcing 0%. Where cash flows change sign more than once, the calculator should flag possible multiple IRRs and favour NPV comparisons. Monthly data should be downloadable with their input assumptions and source dates.

14. Strategy, counterarguments and next actions

The conclusion depends on the risk the household wants to reduce

A defensible planning sequence

- Quantify essential monthly spending in SGD and the income already available for life. This identifies the longevity-income gap.
- Decide how much capital must remain accessible for emergencies and known expenses. A death refund cannot serve that purpose while the member is alive.
- Obtain actual CPF quotations and alternative benefit illustrations using the same person, dates and capital. Compare guaranteed cash flows first.
- Test several survival ages, including late life, and show inflation and adverse investment paths. Use household and income-only results side by side.
- Evaluate the incremental top-up or deferral decision separately from the existing CPF commitment. Recheck withdrawal rules and the value of liquidity before acting.

The strongest counterarguments deserve space

Against an overly favourable CPF LIFE framing: zero nominal household growth over many early payout years has a real opportunity cost. The declining refund limits estate value. Level payouts lose purchasing power. Long-term payout adjustments remain possible. A household with ample independent lifelong income may place a higher value on flexible assets than on another unit of longevity cover.

Against an overly critical investment framing: the payout rate is supported by returning capital and pooling longevity risk. A separate portfolio must either accept depletion risk, reduce spending, commit more capital or earn sufficient returns. The insurance protects against a difficult late-life outcome that a return calculated at one assumed death age cannot describe fully.

Judgment. CPF LIFE can provide a foundation for essential lifetime spending, with other assets addressing liquidity, inflation and estate goals. The appropriate split depends on the actual income gap and available capital. The research does not establish that everyone should maximise CPF top-ups, select the same plan or choose the same payout start age.

> **The useful question is: how much dependable income will the household receive, for how long, with what access to capital and what value remaining for beneficiaries?**

15. Method, limitations and audit notes

Reproducible arithmetic does not remove uncertainty in the inputs

Item	Treatment in the central case
Currency and basis	Nominal SGD. No personal tax relief, fees or outside CPF assets included.
Initial cash flows	−S$220,400 at 55 for the full-period view; −S$330,100 at 65 for the payout-period view.
Monthly timing	First S$1,780 payment one month after 65. Death occurs just after the selected month’s payment.
Payout changes	Held constant for analysis. Actual CPF adjustments and subsequent contributions would change results.
Premium refund	max(S$330,100 − cumulative payouts, 0), for this Standard case.
IRR	Monthly discounted cash-flow root, annualised as (1+i)^12 − 1. Separate income-only and household series.
Portfolio scenarios	Smooth net annual effective rates, monthly equivalent growth before withdrawals, no borrowing after depletion.
Precision	Exact arithmetic uses the published inputs. Those reference inputs themselves are rounded illustrations. Display precision is not quotation accuracy.

The model has no mortality probabilities and is not an expected-value or actuarial-pricing model. It does not estimate individual health, predict lifespan, reproduce unpublished CPF pricing assumptions, or guarantee future payouts. The population life-expectancy statistic supplies context only. The calculator distinguishes financial arithmetic from those unanswered questions.

Two independent numerical implementations were used for the central monthly cash flows. Their headline results, zero-IRR identity, recovery months, discount-rate comparisons and portfolio shortfall months were reconciled. Independent validation checks the arithmetic under the assumptions; it cannot validate assumptions as future facts.

No personalised payout quote, full Basic/Escalating death-benefit schedule, age-70 premium, or named alternative-product benefit illustration was supplied. Those gaps limit product-specific rankings. The report deliberately leaves them visible.

Source dates below are publication or update dates where displayed. All web sources were reviewed on 5 November 2026. Current rules can change, so a live comparison should retain its quotation date and refresh its official references.

Sources and reference register

Primary official sources govern current CPF mechanics; Investment Moats supplies the comparison starting point

S01. Kyith, Investment Moats. Which CPF Life Plan Gives the Greatest Return?. Date: 30 Apr 2022; first written Dec 2018. Open source.

S02. CPF Board. How much CPF payouts can I get every month?. Date: 16 Jun 2026. Open source.

S03. CPF Board. How does the CPF LIFE Standard Plan work?. Date: 5 Sep 2025. Open source.

S04. CPF Board. How does the CPF LIFE Escalating Plan work?. Date: 5 Sep 2025. Open source.

S05. CPF Board. How does the CPF LIFE Basic Plan work?. Date: 26 Aug 2026. Open source.

S06. CPF Board. CPF LIFE savings and beneficiaries on death. Date: 9 Jul 2026. Open source.

S07. CPF Board. How risk-pooling supports lifelong CPF LIFE payouts. Date: Published 6 Sep 2024; updated 23 Apr 2026. Open source.

S08. CPF Board. 4% interest rate floor extended through 31 December 2027. Date: 22 Sep 2026. Open source.

S09. CPF Board. How much extra interest can I earn on my CPF savings?. Date: 8 Oct 2026. Open source.

S10. CPF Board. How is my CPF interest computed and credited?. Date: 15 Sep 2026. Open source.

S11. CPF Board. When and why CPF LIFE payouts may be adjusted. Date: 23 Sep 2025. Open source.

S12. CPF Board. How can I increase my future monthly payouts?. Date: 14 Aug 2026. Open source.

S13. CPF Board. Exemption from CPF LIFE. Date: 5 Jan 2026. Open source.

S14. Singapore Department of Statistics. Death and life expectancy: latest data, 2025. Date: 2025 data; release 3 Jun 2026. Open source.

S15. MoneySense. Understanding annuities. Date: 4 Nov 2026. Open source.

S16. Monetary Authority of Singapore. SGS bonds, T-bills and Savings Bonds: products for individuals. Date: 28 Jul 2026. Open source.

S17. Monetary Authority of Singapore. Singapore Savings Bonds FAQs. Date: Accessed 5 Nov 2026. Open source.

S18. CPF Board. Why interest on CPF LIFE premiums is not paid to beneficiaries. Date: 28 Dec 2021. Open source.

S19. CPF Board. How are the CPF LIFE payouts calculated?. Date: 4 Mar 2026. Open source.

S20. CPF Board. What is the current Enhanced Retirement Sum?. Date: 6 May 2026. Open source.

All charts and numerical comparisons in this report are original calculations from the identified reference inputs. Scenario return and inflation rates are modelling choices. The report does not reproduce the historical Investment Moats charts or its old plan-by-plan estimator outputs.

Public-edition design note

Original charts and report layout are retained. Private design-source filenames and authoring-workflow notes have been removed. The original report date is 5 November 2026; this public edition does not update rules or quotations.